

Why the CAP was created

To understand the CAP, you need to go back to the aftermath of World War II. Food shortages across Europe were a very real problem, and there was a genuine fear that agricultural markets, left unregulated, could leave millions without stable food access. According to the European Commission, the CAP was conceived as a common policy with the core objectives of providing affordable food for EU citizens while ensuring a fair standard of living for farmers.

Formally initiated in 1962 following the **Treaty of Rome (1957)**, the policy was built on three foundational principles outlined by the USDA Economic Research Service: a unified market allowing the free flow of agricultural commodities across EU member states; product preference giving priority to internal EU produce over foreign imports through common customs tariffs; and financial solidarity, meaning agricultural programs would be funded jointly through a common EU budget. These three pillars created a framework that was, at the time, groundbreaking in its ambition to integrate the farm sectors of diverse European nations into a single policy structure.

The overproduction crisis and early reforms

The early CAP worked remarkably well – perhaps too well. The European Parliament's fact sheets note that, with policy-supported prices set far above world market levels and an unlimited buying guarantee, European farms began producing massive food surpluses. Grain mountains and butter lakes became symbolic of a policy gone into overdrive. The CAP was spending an ever-growing share of the EU budget, and the environmental damage from intensive farming practices – heavy use of chemical pesticides, removal of hedgerows, and soil degradation – was becoming impossible to ignore.

A notable inequity also emerged. Economic historians at EH.net point out that because support was directly linked to production volume, the largest producers received the

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Minor fixes – like introducing dairy production quotas in 1984 and land set-aside schemes in 1988 – offered only partial relief. A more fundamental overhaul was necessary.

The MacSharry reform of 1992: a turning point

The first major structural reform of the CAP came in 1992 under EU Agriculture Commissioner Ray MacSharry. Pressure from the Uruguay Round of GATT trade negotiations played a key role in forcing the EU's hand. The reform replaced the system of guaranteed high prices with **direct compensatory payments** to farmers – essentially decoupling income support from how much food was produced. [Austria's Federal Ministry of Agriculture](#) describes this as a major structural change, noting that direct payments, mandatory set-aside programs, environmental initiatives, and support for rural diversification were all introduced at this stage.

Funds also became available for agri-environment schemes, where farmers received additional payments for adopting environmentally friendly practices. This was the first time the CAP began to seriously address its environmental footprint. It was a clear signal that the policy's goals were expanding beyond raw production.

Agenda 2000 and the two-pillar structure

Building on the MacSharry reforms, the **Agenda 2000** reform – agreed at the Berlin European Council in March 1999 – introduced a framework that remains central to the CAP today. [The reform introduced the concept of sustainability and established the two-pillar structure of the CAP](#): Pillar I covering direct income support and market measures, and Pillar II dedicated to rural development. This two-pillar architecture gave the CAP a much broader remit, recognizing that farming is not just about production – it is also about maintaining landscapes, supporting rural communities, and preserving the environment.

Agri-environment schemes became compulsory for every member state under Agenda 2000. Support prices for cereals, milk, and beef were progressively reduced while direct payments to farmers were increased to compensate. The Cork Declaration of 1996,

The Fischler reforms of 2003: decoupling takes center stage

What began as a mid-term review of Agenda 2000 became one of the most consequential transformations in CAP history. The 2003 reforms – often called the **Fischler reforms** after Commissioner Franz Fischler – introduced the concept of full decoupling through the **Single Farm Payment (SFP)**. According to USDA ERS, these decoupled payments were based on historical payment levels from 2000–2002 and completely replaced the earlier compensation payments. Crucially, receiving the SFP no longer required farmers to produce any specific crop – breaking the direct link between subsidy and output.

The 2003 reform also formalized **cross-compliance**, meaning farmers had to meet a defined set of environmental, animal welfare, food safety, and food quality regulations to receive their payments. Land not actively farmed still had to be maintained in good agricultural condition. This approach – paying farmers to be stewards of the land, not just producers of commodities – marked a significant philosophical shift in EU farm policy.

The 2013 reform: greening and greater fairness

The CAP reform that came into force in January 2014 added a new layer of environmental ambition: **greening**. For the first time, 30% of direct payments in the first pillar were tied exclusively to farmers meeting specific environmental practices – such as crop diversification, maintaining permanent grassland, and preserving ecological focus areas. The reform introduced a “small farmers scheme” that offered a simplified subsidy arrangement, and targeted support for young farmers entering the sector for the first time.

payments away from historical levels toward flat-rate, area-based payments set at national or regional levels, with a phased transition from 2015 to 2020.

CAP 2023-2027: results, flexibility, and the green deal

The most recent CAP, formally adopted on 2 December 2021 and entering into force on 1 January 2023, represents the most ambitious version yet in terms of its environmental and climate commitments. [The EU Council describes the new rules](#) as aiming to make EU farming fairer, greener, and more results-driven, with greater flexibility for member states to design policies suited to their specific farming conditions and challenges.

The budget for this cycle is substantial. [The European Parliament reports](#) that €386.6 billion has been allocated for agriculture under the EU's 2021-2027 budget – split between €291.1 billion for the European Agricultural Guarantee Fund (direct income support) and €95.5 billion for the European Agricultural Fund for Rural Development.

Eco-schemes and environmental conditionality

A standout feature of the CAP 2023-2027 is the introduction of mandatory **eco-schemes**. [Under the new rules, EU member states must allocate at least 25% of direct payments to eco-schemes](#), which reward farmers who go beyond mandatory environmental standards by adopting nature-friendly and climate-sensitive practices. This includes protecting wetlands and peatlands to preserve carbon-rich soils. [The European Commission notes](#) that agricultural greenhouse gas emissions declined by 28.9% between 1990 and 2021 without reducing production levels – and the 2023-2027 CAP aims to build on that progress with strengthened climate mitigation support, contributing to the EU's target of net zero greenhouse gas emissions by 2050.

[For the 2023-2027 period, 40% of the entire CAP budget is devoted to climate action](#) – a commitment that aligns the policy with the EU's broader European Green Deal and the Farm to Fork Strategy, which aims to transition the EU food system toward a more sustainable model.

national CAP Strategic Plans. Rather than prescribing specific measures, the reformed CAP sets out overarching objectives and then allows each EU country to decide how best to achieve them based on local conditions. **According to the European Commission**, each member state submitted a strategic plan that was reviewed and approved by the Commission – a process that gave countries more autonomy while ensuring alignment with EU-level goals.

An assessment of the CAP Strategic Plans found that about 35% of EU farmland should benefit from actions targeting both carbon sequestration and reduced nitrous oxide emissions, and that 47% of EU farmland is expected to benefit from voluntary soil protection practices. The plans also aim to support 377,000 young farmers in setting up agricultural activity – a nod to the aging farming population that threatens the long-term viability of the sector.

Support for smaller farms and rural communities

Equity has been a persistent challenge throughout the CAP's history. The current reform attempts to correct the long-standing bias toward large farms through **redistributive payments**. **More than 10% of EU direct payments – representing €4 billion annually – are being reallocated through redistributive payments benefitting small and medium-sized farms**, more than doubling the amount from the previous period. The rural development pillar continues to support communities across an EU where nearly half of all land is rural and home to 25% of the population.

Ongoing tensions and the road ahead

The CAP has never been without controversy, and the current version is no exception. **Widespread farmers' protests across Europe in 2024** highlighted persistent grievances – low incomes, unfair competition from cheaper imports, and a sense that environmental compliance requirements had become administratively burdensome. In response, the European Commission adopted a first simplification package in July 2024, lowering some environmental requirements and removing controls and penalties for small farms. A second set of simplification measures was proposed in May 2025.

quantitative targets for greenhouse gas reduction and adequate mechanisms to address emissions from livestock and synthetic inputs. The study argues that without stronger controls in the national strategic plans, the CAP's alignment with the European Green Deal remains incomplete.

In December 2024, EU agriculture ministers approved conclusions on the future direction of the CAP, emphasizing food security, farmer competitiveness, and fair incomes as core priorities. **Ministers in May 2025 further agreed that enhancing competitiveness and sustainability while simplifying agricultural policies were crucial goals** for the CAP's next phase, expected to cover the post-2027 period. The European Commission published its Vision for Agriculture and Food in February 2025, placing agriculture's role as a strategic sector and the attractiveness of farming as a career at the heart of future policy discussions.

Six decades of a policy in motion

From a post-war tool designed to maximize food output, to a complex instrument balancing farmer incomes, environmental protection, rural development, and climate action – the CAP's evolution mirrors the transformation of European society itself. **The USDA ERS notes** that the CAP has historically played a critical role in connecting very diverse European countries, helping to solidify national commitment to the EU as a project. Its reforms have consistently moved the policy away from protectionist, production-driven support toward a more market-oriented, sustainability-focused framework – even if that journey has been gradual, contested, and far from complete.

With the post-2027 CAP discussions already underway, the central question facing EU policymakers remains the same one that has driven every major reform since 1992: how do you support farmers' livelihoods, feed a continent, and protect the environment – all at the same time, and on a finite budget?

What do you think? As the EU prepares for the next CAP reform after 2027, should environmental and climate commitments be made legally binding rather than voluntary for member states? And given that farmers' incomes remain around 40–45% below the